

Table 46.6 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the length of the first leg from the highest high to the lowest low (at the start of the corrective phase). Subtract the result from the highest high reached in the corrective phase to get the target price. The bottom portion of the table shows the success rate using various heights.
Corrective phase	Refer to Table 46.5 to see where price may stop rising.

Description	Bull Market	Bear Market
Percentage reaching half height target	97%	93%
Percentage reaching .75 height target	72%	68%
Percentage reaching full height target	43%	38%

Assurant Inc.

[Figure 46.4](#) shows a trade I made using a measured move down pattern in Assurant Inc. (AIZ). The measured move begins at A and ends at D. The first leg is AB, a drop of 6.54. The corrective phase, BC, tows price back up before the second leg begins. The second leg, CD, posts a drop of 9.26, far exceeding the length of the first leg.

Here's what I wrote in my notebook about the entry: “16 June 2012. Buy reason: This is near the yearly low, resting on support. I think it's a buy, but the company has troubles going forward. They are buying back shares but still have to get their act together. If a good quarter comes in, this could pop. I expect the stock to ease upward. The leg 1 drop was about 6.50 points and leg 2 was about 9, so it's due for a rebound.”

My computer calculated the position size as 5/8 of a full position, so that's what I bought. The sizing is based on the market and stock's volatility. I bought at the market open (filled at E, 33.66) with a volatility stop calculated at 31.85 or 6% below, but this was an anticipated long-term holding, so I never placed the stop. I do that for buy-and-hold situations like this one.